

HEALTH CARE INSURANCE CLAIMS PURCHASE AGREEMENT

This Health Care Insurance Claims Purchase Agreement (the “Agreement”) is executed this ____ day of _____, 20__ (hereinafter referred to as the “Effective Date”) by and between Patient-Direct Rx, LLC, a Florida limited liability company (hereinafter referred to as “**PD Rx**”) and _____, a physician group engaged in the practice of medicine that employs or contracts with medical doctors, osteopathic physicians, nurse practitioners and/or physician’s assistants who are licensed to practice by the State of _____ (hereinafter referred to as the “**Group Practice**”).

RECITALS

WHEREAS, PD Rx is licensed to dispense pharmaceuticals to patients by mail order who are covered by workers’ compensation insurance or no-fault personal injury protection (“PIP”) insurance (hereinafter collectively referred to as “Specialized Patients”); and

WHEREAS, medical doctors, osteopathic physicians, nurse practitioners, and/or physician’s assistants who are employed by or who are otherwise affiliated with the Group Practice may offer Specialized Patients needing prescription medications the following options at the patients’ sole discretion: (1) receiving a written prescription for medications to be filled by a local pharmacy, or (2) receiving medications directly by mail order; and

WHEREAS, the Group Practice transmits prescriptions for Specialized Patients who elect to have them filled by mail order to PD Rx to dispense; and

WHEREAS, the Group Practice believes that mail order delivery of prescription medications promotes better patient care and treatment by helping to ensure the receipt of needed medications and adherence to medication therapy regimens.

WHEREAS, prescriptions filled for Specialized Patients often give rise to the right to bill an insurance company pursuant to a state mandated fee schedule or an amount dictated by state policy (hereinafter referred to as a “Health Care Insurance Claim”¹); and

WHEREAS, the billing of Health Care Insurance Claims for medications provided to Specialized Patients is time consuming and costly and generally results in a considerable delay before collecting claims from the insurance companies, resulting in the need for extensive working capital; and

WHEREAS, PD Rx desires to reduce its need for working capital and improve its liquidity by selling the Health Care Insurance Claims at fair market value at an agreed price calculated as provided herein and the Group Practice has agreed to purchase all such claims

¹ For purposes of this agreement, claims which will be billed to a federal payor are not included in the definition of a Health Care Insurance Claim.

relating to prescriptions it has written and transmitted to PD Rx for filling, subject to the terms and conditions set forth herein; and

WHEREAS, Neither Group Practice, nor any owners of or physicians employed by Group Practice, nor any family members of these individuals, have an ownership or investment interest in PD Rx; and both Group Practice and PD Rx understand and agree that neither will market or otherwise advertise on behalf of the other.

NOW, THEREFORE, for and in considerations of the premises and other good and valuable consideration, receipt of which is hereby acknowledged, the parties covenant and agree as follows:

Section 1. Purchase and Sale. PD Rx agrees to sell and the Group Practice agrees to purchase all Health Care Insurance Claims arising from prescriptions written by the Group Practice for Specialized Patients that are filled by PD Rx during the term of this Agreement. Health Care Insurance Claims shall not include those claims properly billed to a federal payor, and such federal claims are excluded from the terms of this Agreement. Group Practice shall be obligated to purchase the Health Care Insurance Claim at the time the prescription is dispensed by PD Rx. The parties agree that the sale of the Health Care Insurance Claims hereunder by PD Rx to the Group Practice shall constitute a true sale with no recourse for Group Practice's inability to collect the claim for any reason other than the breach of an express representation and warranty by PD Rx set forth in Section 5 of this Agreement.

Section 2. Purchase Price; Right to Audit. The Purchase Price for each Health Care Insurance Claim shall be the actual cost of the medication to PD Rx plus the shipping cost to deliver the medication to the patient plus a flat dispensing fee of \$5.00 for each medication dispensed by PD Rx to a patient of the Group Practice (hereinafter referred to as the "Purchase Price"). The Purchase Price shall be determined by PD Rx based solely on the forgoing calculation. The Group Practice shall have access to audit the books and records of PD Rx during customary business hours and upon reasonable prior notice to verify the accuracy of the calculation of the Purchase Price.

Section 3. Billings; Payment of Purchase Price. PD Rx will invoice the Group Practice electronically, c/o Elite Care Rx, LLC, its manager (hereinafter referred to as the "Manager"), as soon as practicable after dispensing for the Health Care Insurance Claims generated as a resulting of the dispensing and sold to the Group Practice. Payment will be due to PD Rx within five (5) business days after Manager's receipt of each invoice. The Manager shall pay PD Rx from a bank account used on behalf of the Group Practice to pay PD Rx and to receive collections from the insurance companies for the Health Care Insurance Claims (hereinafter referred to as the "Special Account"). The Group Practice will be responsible for the cost of the Health Care Insurance Claims from PD Rx after the Effective Date of this Agreement, and upon termination of this Agreement, Group Practice shall be responsible for any sums owed to PD Rx, regardless of the collectability of any claim, pursuant to Section 1 herein.

Section 4. Assignment of Health Care Insurance Claims; HCIF. PD Rx hereby assigns all Health Care Insurance Claims to the Group Practice outright and with no restrictions and agrees

as to each such claim to deliver to Group Practice sufficient information to complete a Health Care Insurance Form (“HCIF”) containing the National Drug Code for each medication it dispenses. The information shall be delivered by electronic transmission to the Group Practice or its Manager as soon as possible after the shipping of the medication, or at the request of the Group Practice, a hard copy of the information shall be provided by facsimile transmission. PD Rx shall provide such additional information, documents or assistance reasonably requested by Group Practice or its Manager from time to time to assist with the collection of the claim, including such additional documentation evidencing the assignment of the claim to the Group Practice as may be requested by an insurance company.

Section 5. Representations and Warranties by PD Rx. PD Rx represents and warrants to the Group Practice that each HCIF that it transmits to the Group Practice for a Health Care Insurance Claim shall be true and accurate in all respects and that the medication(s) described therein shall be correctly dispensed and mailed to the patient described therein.

Section 6. Term; Early Termination; Termination for Cause.

(a) **Term.** The term of this agreement shall be one year from the Effective Date of this Agreement with an automatic renewal for successive one (1) year terms unless terminated in writing by either party by written notice served not less than thirty (30) days prior to an annual renewal date.

(b) **Early Termination.** Notwithstanding the one year term set forth in subsection (a) above, either party may terminate this Agreement early by serving written notice on the other party not less than ninety (90) days prior to the date selected for termination.

(c) **Termination for Cause.** In the event either party breaches the terms of this Agreement, the non-breaching party may terminate this Agreement for cause without further notice if the breaching party fails to cure the breach within five (15) business days after receipt of written notice thereof from the non-breaching party.

Section 7. Confidentiality. The Group Practice acknowledges that PD Rx has a legitimate and protectable interest in trade secrets and confidential, proprietary business information (hereinafter referred to as the “**Confidential Information**”), which includes, but is not limited to the pricing, service and contract information contained in this Agreement. The Group Practice covenants that it shall not at any time, whether during the term of this Agreement, or after the termination of such Agreement, without the prior, express, written approval of PD Rx in each instance, disclose, divulge, or in any other way reveal, or cause another to do so, any Confidential Information to any person, party or entity, directly or indirectly except to the limited extent this may be necessary as part of this Agreement. In addition, the Group Practice shall not, for any purpose or reason, except within the scope of the Group Practice’s responsibilities under this Agreement, directly or indirectly, use or utilize any of the Confidential Information for its own benefit, for the benefit of any third party, or for any purpose whatsoever.

Section 8. HIPAA. In connection with the performance of their obligations under this Agreement, both parties will have access to certain protected health information (“**PHI**”) as defined by the Health Insurance Portability and Accountability Act of 1996 (“**HIPAA**”). Each

party covenants and agrees to maintain the confidentiality of the patient PHI and not to use or disclose such information except as may be required or permitted by applicable law. Each party hereby assures the other party that they will appropriately safeguard the patient PHI made available by or obtained from the other party. This Section shall survive the termination of this Agreement.

Section 9. Notices. All notices or communications required or permitted hereunder shall be in writing and hand delivered or by a nationally recognized overnight delivery service at the following address:

If to PD Rx:

Patient-Direct Rx, LLC
1305 City View Center
Oviedo, Florida 32765

With Copy To:

Peter Young, Esq.
1305 City View
Oviedo, Florida 32765
With an electronic copy to tim@cerio-law.com

If to Group Practice:

Either party may change its address for the purposes of this notice provision at any time in writing, complying with this notice provision. Notices delivered in person shall be deemed given at the time of receipt.

Section 10. Jurisdiction and Venue. In any litigation in connection with or to enforce this Agreement, each party irrevocably consents to and confers personal jurisdiction on the Seminole County, Florida Circuit Court or the United States District Court for the Middle District of Florida, Orlando Division and expressly waives any objections as to venue in any of such courts, and agrees that service of process may be made by mailing a copy of the summons and complaint by registered or certified mail, return receipt requested, to its address. Nothing contained herein shall, however, prevent service of process by any other means available by applicable law.

Section 11. Governing Law. The validity, interpretation and performance of this Agreement shall be governed by the laws of the State of Florida, without giving effect to the principles of comity or conflicts of laws thereof.

Section 12. Attorney's Fees/Costs. If any legal action is brought for the enforcement of this Agreement, or because of an alleged dispute, breach or default in connection with any provision of this Agreement, the prevailing party shall be entitled to recover reasonable attorney's fees (at the trial, appellate or post judgment level) sales and use taxes, court costs and all reasonable expenses, even if not taxable as court costs (incurred in that action) in addition to any other relief to which such party may be entitled, whether incurred at trial or on appeal. Attorney's fees shall include, without limitation, paralegal fees, investigative fees, administrative costs, sales and use taxes and all other charges billed by the attorney to the prevailing party.

Section 13. Entire Agreement. This Agreement constitutes the entire agreement between the Parties, and supersedes any and all other agreements, oral or in writing with respect to the subject matter contained herein.

Section 14. Independent Contractor. None of the provisions of this Agreement are intended to create, nor will they be deemed to create any relationship between the parties other than that of independent parties contracting with each other solely for the purpose of effecting the provisions of this Agreement and any other agreements between the parties evidencing their business relationship.

Section 15. Amendments and Waivers. This Agreement may only be revoked, altered or amended, or modified by the written agreement of both parties hereto. No waiver of any provisions of this Agreement shall be valid unless in writing and signed by the party against whom such waiver is sought. One or more waivers of any covenant or condition of this Agreement by any of the parties hereto shall not be construed as a waiver of any subsequent breach or of other covenants or conditions.

Section 16. Survival. In the event of the expiration or the termination of this Agreement, those portions of this Agreement which by their nature are intended to, or reasonably should, survive the termination or expiration of this Agreement shall so survive.

Section 17. Section Headings. Any section, section title or caption contained in this Agreement is for convenience only, and in no way defines, limits or describes the scope or intent of this Agreement or any of the provisions hereof.

Section 18. Invalid Provisions. The invalidity or unenforceability of any particular provision of this Agreement shall not affect any other provision hereof. This Agreement shall be construed in all respects as if such invalid or unenforceable provisions were omitted.

Section 19. Successors and Assigns. This Agreement shall be binding upon, and shall inure to the benefit of the successors and assigns of the parties. In no event shall either party assign or delegate any of their rights, powers, duties or obligations under this Agreement without prior written consent of the other Party.

Section 20. Construction. This Agreement shall not be construed against a party by reason of the fact that the Party was responsible for drafting this Agreement or any provision thereof.

Section 21. Interpretation. When the context of this Agreement requires, the gender of all words shall include the masculine, feminine and neuter, and the number of words shall include the singular and plural.

Section 22. Counterparts. This Agreement may be executed in multiple counterparts, each of which shall be deemed an original and all of which shall constitute a single agreement.

[Signature Page Follows]

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the Effective Date.

Name of Group Practice:

By: _____

Print: _____

Title: _____

EIN: _____

PATIENT-DIRECT RX, LLC

By: _____

Print: _____

Title: _____

EIN: _____